

PRA Glossary - T

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technical provisions

(1) (in the Solvency II Firms Sector) means the technical provisions established in accordance with Technical Provisions 2.1; (2) (in the Non-Solvency II Firms Sector) means a technical provision established: (a) for general insurance business, in accordance with Insurance Company - Technical Provisions 2.1; and (b) for long-term insurance business, in accordance with Insurance Company - Technical Provisions 2.2.

temporary high balance

means that part of an eligible deposit in excess of the coverage level set out in Depositor Protection 4.2 which meets the additional criteria set out in Depositor Protection 10.2. [Note: Art. 2(1)(6) of the DGSD]

The EU

This term is defined externally, please refer to: s1(2) Interpretation Act 1978

third country

The changes to this defined term are effective from 23:00 on 31/12/2020. means a territory or country other than the United Kingdom.

third country branch

means a third country insurance branch or a third country pure reinsurance branch.

third country branch undertaking

means: (1) a third country insurance undertaking that has a third country insurance branch; or (2) a third country insurance undertaking or third country reinsurance undertaking that has a third country pure reinsurance branch.

third country CRR firm

The changes to this defined term are effective from 23:00 on 31/12/2020. means an overseas firm that would be a CRR firm if it had been a UK undertaking, had carried on all of its business in the UK and had obtained whatever authorisations for doing so as are required under FSMA. [Note: Section 425(1)(a) FSMA]

third country financial conglomerate

has the meaning given in regulation 7 of the Financial Conglomerates Regulations.

third country firm

The changes to this defined term are effective from 23:00 on 31/12/2020. means an overseas firm.

third country insurance branch

means a permanent presence in the UK of a third country insurance undertaking that has a permission to effect contracts of insurance or carry out contracts of insurance (except an undertaking which pursues only the business of reinsurance in the UK). [Note: Art. 162(3) of the Solvency II Directive]

third country insurance services provider

This defined term is effective from 23:00 on 31/12/2020. means a third country insurance undertaking that has a permission to effect contracts of insurance or carry out contracts of insurance in the UK and does not have a permanent presence in the UK.

third country insurance undertaking

means an undertaking that has its head office outside the UK and if its head office were situated in the UK would: (1) need Part 4A permission; and (2) satisfy the conditions set out in Insurance General Application 2.2.

third country investment firm

The changes to this defined term are effective from 23:00 on 31/12/2020. a firm which would be a MiFID investment firm if it had its head office in the UK.

third country pure reinsurance branch

means a permanent presence in the UK of a third country insurance undertaking or third country reinsurance undertaking, that has a permission to effect contracts of insurance or carry out contracts of insurance and which pursues only the business of reinsurance in the UK. [Note: Art. 162(3) of the Solvency II Directive]

third country reinsurance undertaking

means an undertaking that pursues only the business of reinsurance and has its head office outside the UK and if its head office were situated in the UK would: (1) need Part 4A permission; and (2) satisfy the conditions set out in Insurance General Application 2.2.

Third Life Directive

means the Council Directive of 10 November 1992 on the coordination of laws, etc, and amending Directives 79/267/EEC and 90/619/EEC (No 92/96/EEC).

Third Non-Life Directive

means the Council Directive of 18 June 1992 on the coordination of laws, etc, and amending Directives 73/239/EEC and

88/357/EEC (No 92/49/EEC).

third-country CSD

has the meaning given in Article 2(1)(2) of CSDR.

Threshold conditions

This term is defined externally, please refer to: s417 FSMA (by reference to s55B(1) FSMA)

tied agent

means a person who, under the full and unconditional responsibility of only one MiFID investment firm or third country investment firm on whose behalf it acts, promotes investment services and/or ancillary services to clients or prospective clients, receives and transmits instructions or orders from the client in respect of investment services or financial instruments, places financial instruments and/or provides advice to clients or prospective clients in respect of those financial instruments or investment services.

Tier 1 capital

has the meaning it has in Article 25 of the CRR.

tier 1 capital (leverage)

means tier 1 capital as defined in Article 25 of the CRR except that an additional tier 1 capital instrument can only be counted as tier 1 capital (leverage) if it either: (a) converts into common equity tier 1 capital; or (b) writes down, when the common equity tier 1 capital ratio of the firm falls below a level equal to either: (a) 7%; or (b) a level higher than 7%, as specified in the provisions governing the instrument. In this definition: (a) 'additional tier 1 capital' has the meaning given in Article 61 of the CRR; (b) 'common equity tier 1 capital' has the meaning given in Article 50 of the CRR; and (c) 'common equity tier 1 capital ratio' has the meaning given in Article 92(2)(a) of the CRR.

Tier 1 own funds

means an item of basic own funds that satisfies the conditions in Own Funds 3.1, 3A and 3B.1 to 3B.13.

Tier 2 basic own funds

means an item of Tier 2 own funds that is an item of basic own funds.

Tier 2 own funds

means an item of own funds that satisfies the conditions in: (1) Own Funds 3.2(1), Own Funds 3D and 3E.1 to 3E.5; or (2) Own Funds 3.2(2), Own Funds 3H and 3I.

Tier 3 own funds

means an item of own funds referred to in Own Funds 3.3 that satisfies the conditions in either: (1) Own Funds 3F and 3G.1 to 3G.5; or (2) Own Funds 3J.

tier one capital

means an item of capital that is specified in stages A (Core tier one capital), B (Perpetual non-cumulative preference shares) or C (innovative tier one capital) of the capital resources table.

tier two capital resources

means the sum calculated at stage I (Total tier two capital) of the calculation in the capital resources table.

TMTP

means a transitional deduction from a firm's technical provisions.

TMTP Permission

means the permission to apply TMTP granted to a firm by the PRA pursuant to section 138BA of FSMA.

tontine

means the class of contracts of insurance specified in paragraph V of part II of Schedule 1 to the Regulated Activities Order.

total assets

means: (1) for a firm which is required to submit data item FSA001, the sum of the firm's assets as recorded at Cells 20A plus 20B of that data item; (2) for a firm which is required to submit data item template 1.01 of Annex III of the Supervisory Reporting ITS, the sum of the firm's assets as recorded at row 380 of that data item; or (3) for a firm which is required to submit data item template 1.01 of Annex IV of the Supervisory Reporting ITS, the sum of the firm's assets as recorded at row 380 of that data item.

total capital after deductions

(1) in relation to an undertaking with a Part 4A permission, the total capital after deductions calculated as if that undertaking were required to calculate its capital resources in accordance with Insurance Company - Capital Resources Table 2.1, but with such adjustments being made to secure that the undertaking's calculation of its total capital after deductions complies with relevant capital provisions in the PRA Rulebook or FCA Handbook; (2) in relation to any other subsidiary, the total capital after deductions of the undertaking calculated as if the undertaking were required to calculate its total capital resources in accordance with Insurance Company - Capital Resources Table 2.1.

total exposure measure

has the meaning given in Article 429(4) of Chapter 3 of the Leverage Ratio (CRR) Part.

transferable securities

means as defined in Article 4(1)(44) of MiFID II.

Transitional Order

means the Financial Services (Banking Reform) Act 2013 (Transitional and Savings Provisions) Order 2015 (SI 2015/492).

Treasury

This term is defined externally, please refer to: Schedule 1, Interpretation Act 1978